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Insolvency & Bankruptcy Code

Beginnings of a New Insolvency
Regime in India

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Insolvency & Bankruptcy Services LLP

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Executive Summary

*'In Medieval Italy when a banker who originally conducted his public marketplace transactions on a bench was unable to continue lending and meet obligations, or a merchant who displayed his goods on a table could not pay his debts, the table was broken in a symbolic show of failure and inability to negotiate. This was referred in Latin as bancus (bench or table) and ruptus (ruptured).'*¹

The Indian banking situation was in a bad shape by the end of 2016. After a declining profit and growing NPA crisis, the new Government took the opportunity of a strong public confidence after a landslide victory to quickly enact the Insolvency and Bankruptcy Code, 2016. This was aimed to counter the problem of a glooming economy with foreign investments by boosting India's rank in the Doing Business Report of the World Bank. While the law is still new, positive results have been seen in the recent report of October 2017. The law aims to bring the entire gamut of laws relating to insolvency under a single system to speed up the resolution process. The law has since then been operationalized, amended, and clarified via various government notifications. However, in no economy does a new law suddenly change all the problems of the prevailing system. More often than not, a cultural shift in perception of the objectives of the law is more difficult than the direct interpretation of the law. The IBC is a very clear and direct law at the surface. However, it still requires some reforms to root out challenges in implementation.

The paper begins with exploring the need of the IBC in context of the historical developments that led to its enactment. After the advent of liberalization in the 1990s and a series of reforms which failed to address the growing levels of stressed assets in the economy, the BLRC was constituted in 2014 which recommended a single window solution to the problem. Subsequently, the IBC was enacted in 2016.

The next subject is to understand the new law with all its features, benefits, and shortcomings. Since its inception, the IBC has been invoked for a large portion of the Indian stressed assets. 540 cases were admitted under the code by the end of December 2017. Of those 40 have been concluded with 30 ending up in liquidation. This paper aims at addressing the practical challenges in implementation of the law.

An objective of the law was to maintain corporate entities as going concerns. However, stressed companies which are suddenly given a new management generally fail to operate during the CIRP.

¹ Sumant Batra. 2017. *Corporate Insolvency*.

The possibility of an industry expert working together with the resolution professional to revive and reinstate the company is explored.

By the end of December 2016, 40 cases were concluded under CIRP. Of these, 30 were liquidated. This may be an indication of the rigidity of the law with respect to revival of the corporate entity. Possibilities of avoiding liquidation to retain value of a going concern are explored.

A major point of contention with the Code was the sale of assets of guarantors of the Corporate Debtor with different benches of the NCLT and the High Courts giving different judgements. Also, there is the question of continuation of guarantees once a resolution plan is approved. However, these questions were answered in a recent NCLAT judgement which concurred with the High Court.

There have also been discrepancies in appointment of the resolution professional itself where the law has some gaps in being comprehensive. This raises a further question of the need of confirmation or replacement of the interim resolution professional and the challenges in changing a resolution professional.

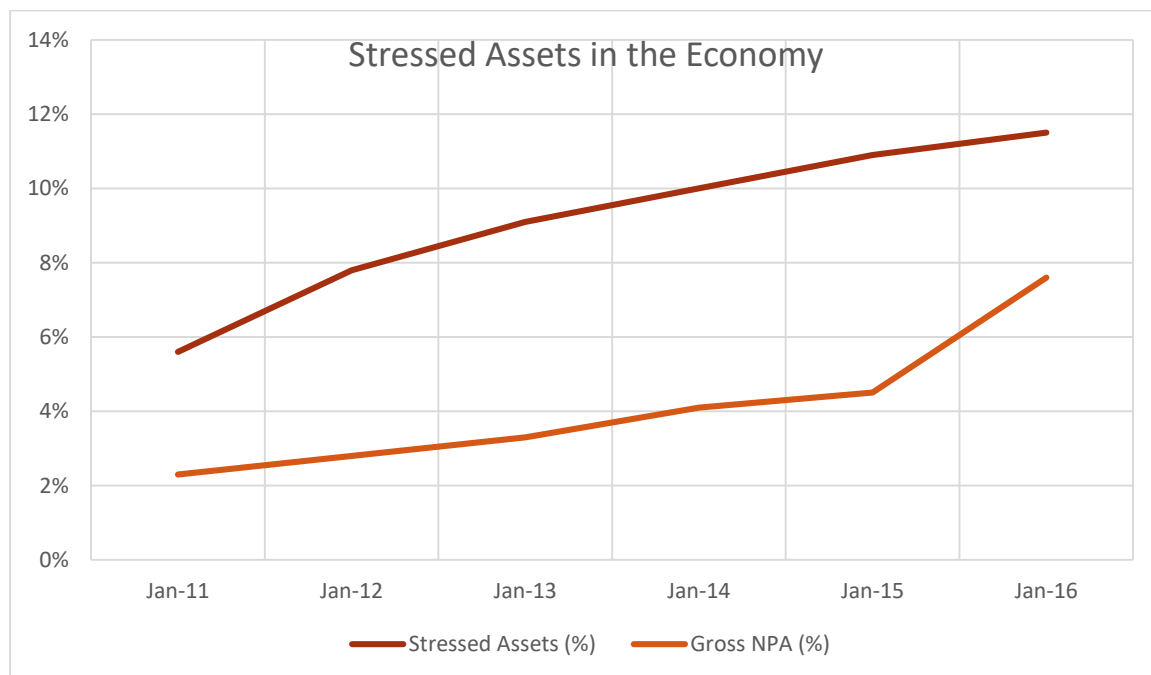
An amendment enacted by means of an ordinance in November 2017 debarred most promoters from bidding for their own company – thereby discharging them from the Corporate Debtor permanently and in all respects. This might be the single biggest blow to the implementation of the IBC as most Indian businesses are family run enterprises with cultural values and legacies. This goes against both social and economic sense of the law and is too punitive in nature.

The IBC is still an evolving law with more clarifications expected in the near future. With the current features of the law, the Indian business ecosystem is taking a step towards an era of increased compliance and financial discipline. As it has already been seen, the IBC has helped to showcase to the world that India can manage business failures much more effectively than most of the developing world. The IBC already recognizes and aims at utilizing technology in the judicial process. We hope this will make the Indian commercial-judicial system more effective and meaningful.

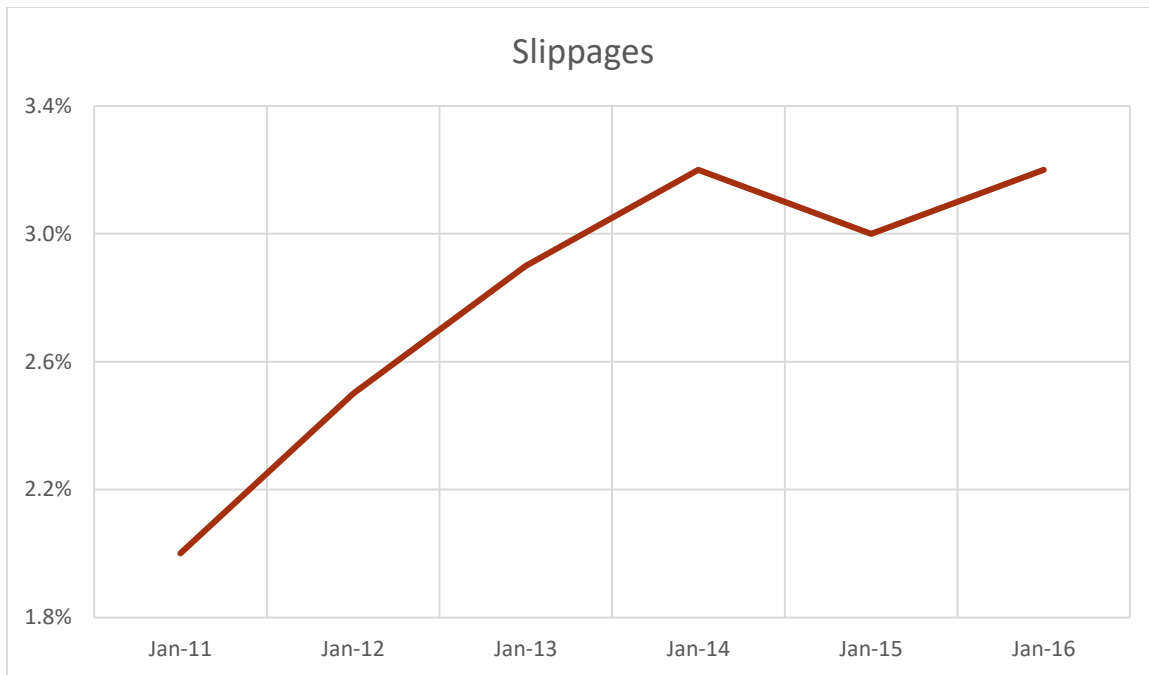
Need of IBC

India has widely been regarded as a mixed economy with elements of both capitalism and socialism. Since the liberalization reforms of 1991, India has been on the path of morphing into a market economy. Over the last couple of decades, India has endeavoured to build in this direction. With liberalization and globalization, India set out on a path of aggressive expansion with a faster GDP growth breaking out from the “Hindu rate of growth”. With the expansion of the economy, the country also saw a rise in the level of stressed assets. The banking sector has been the major contributor for the debt market in the country which is essential for the expansion of any economy. Hence, the rising stress levels in banking were also an indicator of a growing macroeconomic problem.

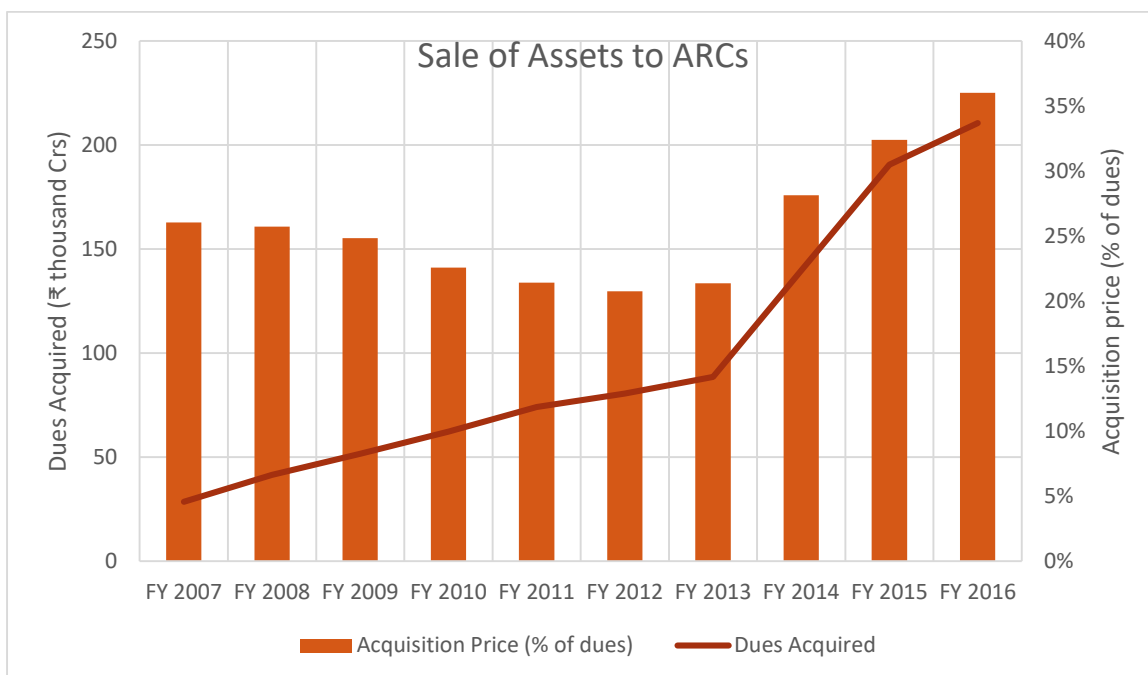
The country has made a wave of policies and reforms to tackle the problem of insolvency of firms. Some noteworthy reforms have been the SICA, DRT, CDR, SARFAESI Act, the Irani Committee and Insolvency Reforms, 2013, S4A, ‘Change in Ownership Outside SDR’, 5:25, JLF etc. However, these proved to be insufficient in tackling the problem of insolvency and stressed assets in the country.



Source: JM Financial ARC – Corporate Presentation. May 2017.



Source: JM Financial ARC – Corporate Presentation. May 2017.



Source: PwC. 2018. Asset reconstruction companies in India.

The overall economic scenario in India was grim and not enough to attract a large foreign investment. The need was felt to improve the World Bank's Ease of Doing Business ranking for India. Recognizing the urgency to uplift the economic mood in the country, the BLRC (Bankruptcy Law Reforms Committee) was set up in August 2014.

The BLRC has been heavily influenced by the UNCITRAL Legislative Guide and the World Bank Principles.² The BLRC noted that the framework for bankruptcy in India was a highly fragmented process. Different Acts guide powers of the creditors and debtors for the state of insolvency. This led to poor consistency and efficiency in a process which was already marred by the conflicts between the debtors and creditors. This was further accentuated by the fact that different judicial authorities were in charge of the different laws which the debtors and creditors were subject to. The existing judicial infrastructure faced constraints of business and financial expertise, information, and bandwidth on complex matters of insolvency. There was a need to redesign the entire resolution process rather than strengthening it under the existing systems. A single code was needed to resolve insolvency of all corporate entities and individuals which would replace all existing laws relating to the matters of insolvency of such registered persons.

The gross and net NPAs of Scheduled Commercial Banks for FY 2016 totalled ₹ 12.24 lakh Cr and ₹ 7.00 lakh Cr respectively.³ The RoE for these banks for FY 2016 was 3.59% reduced from 10.42% in the previous year. The RoA correspondingly reduced from 0.81% to 0.31%. The 24 PSB took a bulk of the hit with a loss of ₹ 18 thousand Cr in FY 2016 declining by 148% from the previous year.⁴

This led to the enactment of the ‘**Insolvency & Bankruptcy Code**’ (“IBC” / “Code”) in May 2016. The Indian Government has moved with the development of supporting rules and regulations, and amendments to the Code with a speed unprecedented for a country which has been known for its red-tape bureaucratic processes. In less than 6 months legislation to operationalize the provisions of IBC relating to corporate persons were finalized. Since then, the Government has come out with regular rules, regulations, circulars, notifications, and guidelines to make necessary changes to the law and modes of implementation. Simultaneously, other financial regulators such as RBI and SEBI have attuned their recent circulars with reference to the Code. No wonder that within two years after the implementation of IBC, the **Ease of Doing Business Ranking for India** by World Bank, jumped to an all-time high of 100⁵.

The law was passed by the Indian Parliament in 2016. In less than 6 months legislation to operationalize the provisions of IBC relating to corporate persons were finalized.

² World Bank. 2016. *The World Bank Principles for Effective Insolvency and Creditor / Debtor Regime*.

³ Reserve Bank of India. 15th September 2017. “Gross and Net NPAs of Scheduled Commercial Banks Bank Group-Wise”. <<https://rbi.org.in/Scripts/PublicationsView.aspx?id=17840>>

⁴ Reserve Bank of India. 29th December 2016. “Report on Trendh and Progress of Banking in India 2015-16”. <<https://rbidocs.rbi.org.in/rdocs/Publications/PDFs/OFRTTP16A120A29D260148E58B484D4A60E381BB.PDF>>

⁵ World Bank Group, 31 October 2017. *Doing Business 2018*.

IBC at a Glance

The IBC comes with a paradigm shift in the Indian Banking regime. At the foremost, it has instituted a greater sense of responsibility amongst both the borrowers and the lenders. In many ways this Code has been effective in alleviating the problems that remained unaddressed in the prior legislations. Few of the ‘**distinctive features**’ of the Code are presented below:

- Shifting of power from debtor-in-possession to creditor-in-control
- Time bound resolution of NPAs
- Unprecedented opportunities for M&A in the Country
- Swift shift of resources from the inefficient to the efficient
- Wide scope of features permissible in the resolution plan
- Plethora of incentives in form of tax relief, carry-forward losses, waivers, etc.
- Another implicit benefit is that lenders shall exercise greater vigil during sanction

The IBC process itself is unique in many ways, wherein upon commencement of Corporate Insolvency Resolution Process (“CIRP”), the control of the Corporate Debtor is shifted to the resolution professional for 180 days during which the Corporate Debtor needs to either be resolved or be liquidated. The resolution professional invites resolution plans from bidders willing to take possession of the Corporate Debtor. The plan needs to be approved by 75% or more of the creditors and must comply with all existing provisions of law. If no consensus is reached amongst the lenders, the Corporate Debtor is liquidated.

IBC in Numbers

Quarter	CIRPs at the beginning of the Quarter	Admitted	Closure by			CIRPs at the end of the Quarter
			Appeal or Review	Approval of Resolution Plan	Commencement of Liquidation	
Jan-Mar 2017	0	38	1	0	0	37
Apr-Jun 2017	37	128	8	0	0	157
Jul-Sep 2017	157	234	6	2	7	376
Oct-Dec 2017	376	140	24	8	23	461
Total		540	39	10	30	

Quarter	No of CIRPs Initiated by			Total
	Financial Creditor	Operational Creditor	Corporate Debtor	
FY 2018 Q4	9	7	22	38
FY 2019 Q1	32	59	37	128
FY 2019 Q2	97	102	35	234
FY 2019 Q3	60	66	14	140
Total	37%	43%	20%	100%

Source: Insolvency and Bankruptcy Board of India. The Quarterly Newsletter of the Insolvency and Bankruptcy Board of India: October – December, 2017 / Vol 5

Areas of Development

In the period of less than two years when the IBC has been operational, it has become an important resolution mechanism for most insolvency cases in India. Recent circulars by the RBI have also designated the IBC as the primary mode of resolution for NPA accounts. However, like in case of any new dispensation, there are always accompanied challenges. The first step in solving any problem is recognizing there is one. Historically, reforms have rarely presented all required solutions needed to solve the problems of a prevailing system. The IBC has come with a fresh set of challenges in implementation.

This paper aims at discussing several key issues within the IBC which call for immediate reforms to root out implementation challenges in the new regime. In the subsequent pages, a select few suggested reforms have been elaborated in detail in following pages.

Challenges in the IBC

- *No say of operational creditors in the CIRP*
 - *Liquidation of the Corporate Debtor for Asset Values without exploring other revival options in case of the CoC doesn't reach a 75% consensus*
 - *No eligibility criteria for appointment of resolution professionals on the basis of size and complexity of the Corporate Debtor*
 - *Pursuant to the haircuts under CIRP, the Corporate Debtor is liable for a corresponding MAT liability which the new buyers will not be willing to pay*
 - *Settlement of cases outside CIRP are allowed only through the Supreme Court once the CIRP is invoked*
 - *Different benches of NCLTs have given conflicting judgements for similar issues*
 - *No clarity on the course of action if 75% of the CoC does not agree upon the appointment of a resolution professional with the management and existence of the Corporate Debtor hanging in the balance*
-

Maintenance as Going Concern

NCLT President Hon'ble Justice Mahesh Mittal Kumar has stated that the objective of the Insolvency and Bankruptcy Code is to find appropriate solution for stressed assets and liquidation would be the last resort. Stating that there are jobs and livelihood at stake, Justice Kumar said the idea is not to lay stress on liquidation of the companies facing insolvency proceedings.⁶

It is always in favour of the Economy if a financially distressed corporate entity is revived under a lawfully defined process rather than liquidated. For the revival of a Corporate Debtor under CIRP, it is necessary to operate the same as a going concern even during the CIRP. However, with the erstwhile directors of the Company not being in power, the resolution professional finds it difficult to manage the operations of the Corporate Debtor.

Creditors put money into debt investments today for the promise of future cash flows. But the return expected on such investments are uncertain because at the time of repayment, the debtor may make repayments as promised, or he may default and does not make the payment.⁷ When this happens, the debtor is considered insolvent. Other than outright fraud, the debtor may be insolvent because of

- Financial Failure – a persistent mismatch between payment obligations by the enterprise and receivables into the enterprise, even though the business model is generating revenues, or
- Business Failure – which is a breakdown in the business model of the enterprise, and is unable to generate sufficient revenues to meet payment obligations

For the problem of Financial Failure, the IBBI designed the resolution professionals as a separate body for taking charge of the Corporate Debtor once insolvency is admitted. But currently there is no mechanism for solving problems related to business failure which arises from the business model. This can hamper production and operation of the Corporate Debtor. So to address the same IBBI may create a separate database of industry experts which is maintained by Information Utilities.

The IBC mentions the following

'17.1.a. From the date of appointment of the interim resolution professional, the management of affairs of the corporate debtor shall vest in the interim resolution professional'

⁶ Business Standard. 3rd January 2018. "IBC's objective not to emphasise on liquidation: NCLT"

⁷ Section 3.2, BLRC Report. November 2015. "The role that insolvency and bankruptcy plays in debt financing"

‘23.1. Subject to Section 27, the resolution professional shall conduct the entire corporate insolvency resolution process and manage the operations of the corporate debtor during the corporate insolvency resolution process period.’

As per the above sections it is clear that the resolution professionals will have the onus of maintaining the Corporate Debtor as a going concern. But it is not always possible for a resolution professional to have expertise in some niche business area. Most Indian enterprises are decades old family owned Companies. The people in management of the Corporate Debtor have been born and brought up learning the trade. It cannot be expected from the resolution professional to maintain the Corporate Debtor, which has a life of its own, with the entrepreneurial zeal of its erstwhile promoters while executing his responsibilities as a resolution professional under the stringent requirements of the IBC. In this scenario, it becomes imperative to have an industry expert who can support the insolvency professional in the areas of production and operations. The role and responsibilities of the industry expert can be the same as that of an Independent professional Director.

The resolution professional is a person adept in legal knowhow. Operating in the Indian Corporate sector, it can also be expected that the resolution professional be skilled in finance, accounts, and compliance matters. However, the resolution professional may not be proficient in everyday business matters such as dealing with factory workers, managing a supply chain, negotiating with buyers and suppliers, maintaining logistics, etc. This has been indicated by the present performance of the IBC where 30/40 cases concluded have resulted in liquidation. For this, we propose that the resolution professional works in tandem with industry experts. Industry Experts can be persons who can maintain highly technical production and operations of the Corporate Debtor thereby fetching better results for all stakeholders. However, the proposed appointment of the industry expert poses its own challenges. Some of the considerations for the appointment of an industry expert are as follows

1. Is it feasible to appoint an industry expert where an insolvency professional is already appointed in place of the board?

The industry expert shall not be appointed to replace the resolution profession, but rather to work with him. The industry expert will help in keeping the Corporate Debtor as a going concern. Often the resolution applicant comes with an intention of purchasing the Corporate Debtor at a price slightly above the liquidation value rather than what the enterprise value should be based on its earning capability. The industry expert can help to identify the true value of the Corporate Debtor through his own networks and can help in the transition phase of the acquisition. Moreover, the

industry expert may also invite resolution applicants from a similar industry vertical for integration benefits and may assist the new promoters to learn the tricks of the trade for a fair compensation.

2. What should be the criteria for evaluation of the expertise and appoint of an industry expert for a Corporate Debtor

The industry expert must go through a similar exam on parallel lines as the insolvency examinations. This must test the business management and leadership skills of the industry expert. Also, the eligibility of the industry expert must be quantified by his experience in the corporate sector which are verified by various certificates of experience. Finally, the industry expert is expected to have a network in the industry which would enable him to be appointed for a particular Corporate Debtor during the CIRP.

3. How will the depository for the database of industry experts be managed?

The depository of industry experts should be managed by the IBBI on similar lines as those of the resolution professionals. However, the industry experts need to be further classified based on the specific industry they operate in.

A total of 553 Corporate Debtors are presently under the CIRP. 320 Insolvency Professionals are appointed for the same out of a total of 1674 Insolvency Professionals registered with the Insolvency Professional Agencies.⁸ Information Utilities may be the depositories for industry experts just like the 'Independent Directors Repository' created under the Companies Act.

⁸ IBBI. 6th February 2018. <http://www.ibbi.gov.in/>

Balancing Liquidation and Reorganization

It needs to be understood that the purpose of IBC is not to define a mechanism of liquidation of companies. However, as of December 2017, 75% of the conclusions of CIRP have resulted in liquidation as indicated in the table on Pg 6.⁹ Under the current regime, potentially viable businesses could be destroyed along with harm to operational creditors and dismissal of workmen. The law does little to pave way for reorganization, take over, and revival and has left it to market forces. The IBC needs to provide a mechanism to reinstitute the business. In the present regime, if a viable resolution plan presented by an eligible resolution applicant is not accepted by 75% of the CoC then the Company is liquidated without exploring any other rescue process.¹⁰

The UK administration provides for three hierarchical objectives – (1) rescue of Company as a going concern, (2) achieving a result better for the creditors than under the scenario of liquidation, and (3) realizing the property in order to make an equitable distribution amongst the creditors.

Another important feature of the UK law is that if a company is already in liquidation by a court order, it can enter into administration by court order. This flexibility allows a liquidator to appeal to bring a Company to administration for fetching greater value during the liquidation process. In addition the court also has the power to dismiss the application, make an interim order, or treat it as a winding up application.

Under the IBC, the Corporate Debtor is barred from filing a resolution process. However, it may be argued that any other corporate applicant apart from the Corporate Debtor is not barred by the provisions of the IBC and can hence, persuade the NCLT to convert the liquidation process to a resolution process. However, the NCLT must be extremely careful in allowing such requests only in exceptional cases where it is convinced that the request for conversion is bona fide. A single company may be responsible for the livelihoods of multiple families, or even entire cities and regions. India, still being a developing economy, cannot afford to ignore social good tendencies and public interest must prevail.

⁹ Insolvency and Bankruptcy Board of India. *The Quarterly Newsletter of the Insolvency and Bankruptcy Board of India: October – December, 2017 / Vol 5*

¹⁰ Section 32, IBC

Sale of Assets of Guarantors

Indian banks have traditionally placed faith on the creditworthiness of promoters, often surpassing the intrinsic value of the project itself. Banking in India, as in most of the eastern part of the world, has been relationship based rather than by procedural structures as in the west. However, banks have never had access to a credible legal framework to take control away from errant promoters. Hence, the practice of seeking higher accountability in the form of Personal Guarantees emerged.

The IBC provides for the transfer of insolvency proceedings of a guarantor before the same NCLT where a CIRP or liquidation of a corporate debtor is pending. Yet, there is some uncertainty regarding the extension of the moratorium prescribed under IBC to the guarantor.

Against Moratorium for Guarantors

NCLT Mumbai has opined that in certain cases, Corporate Debtors initiate CIRP to impede Recovery Proceedings by the lender. In the cases of *"Schweitzer Systemtek India Private Limited vs Phoenix ARC Private Limited"* and *"Alpha & Omega Diagnostics (India) Limited vs Asset Reconstruction Company of India Limited"*, the NCLT Mumbai bench pronounced orders on 3rd July 2017 and 10th July 2017 respectively, with regards to the sale of properties encumbered to the lenders of the respective corporate debtors owned by the Guarantors of such Corporate Debtors. The tribunal ruled that the properties in the cases were not under the ownership of the Corporate Debtor but were given as security to the banks by the promoters for the corporate debtor. Section 14.1.c of the IBC states that

*'Subject to provisions of sub-sections (2) and (3), on the insolvency commencement date, the Adjudicating Authority shall by order **declare moratorium prohibiting** any action to foreclose, recover or enforce any security interest created by the corporate debtor in respect of **its** property including any action under the SARFAESI Act'*

The court ruled that the term "its" is significant. The doctrine of "Noscitur a Sociis" is applicable to this section which means that the associated words take their meaning from one another so that common sense meaning coupled together in their cognate sense be interpreted. In this case, it is simple that "its" denotes the property owned by the Corporate Debtor. The property not owned by the Corporate Debtor does not fall within the ambits of the Moratorium. The NCLT has no legislative authority to expand the meaning of the term "its" even under the umbrella of "Ejusdem generis", i.e. a rule for interpreting statutes and other writings by assuming that a general term describing a list of specific terms denotes other things that are like the specific elements.

Hence, the Moratorium described under Section 14 of the IBC prohibits action against the properties reflected in the Balance Sheet of the Corporate Debtor. The Moratorium has no application on the properties beyond the ownership of the Corporate Debtor. As a result, the enforcement of recovery of outstanding debt by possession of the security owned by a guarantor is not a subject matter falling under NCLT through IBC.

This was further strengthened by a ruling by NCLT Chandigarh in the case of *“Oasis Agroinfra Limited vs Punjab National Bank”* on 22nd September 2017. The tribunal opined that the moratorium shall not have any effect on the proceedings which the Financial Creditor has initiated against the guarantors of the Corporate Debtor.

In another unique case in February 2016, the MCA had held 63 Moons Technologies Limited (63 Moons) (formerly Financial Technologies India Limited) responsible for the defaults of its subsidiary National Spot Exchange Limited (NSEL) and ordered a merger between the two even though 63 Moons had not offered a Guarantee for the liabilities of FTIL. This goes against the basic principles of limited liability of Shareholders under the Companies Law which is one of the foremost principles any professional learns about companies while entering the corporate field. The MCA order was challenged in the Bombay High Court but the petition was dismissed in view of “larger public interest”. As of the time of writing this paper, the matter was adjourned till 8th April 2018 by the Supreme Court. However, the judgement by the MCA and the Bombay High Court might result in a major precedent for the contingent liabilities of holding companies for their subsidiaries.

In Favour of Moratorium for Guarantors

Contrary to the judgement by NCLT, Mumbai, there have been various arguments for not selling the properties of guarantors of companies under IBC. The prominent of these comes from a ruling of the Allahabad High Court on 6th September 2017 in the matters of *“Sanjeev Shriya vs State Bank of India and 6 others”* and *“Deepak Singhania and another vs State Bank of India”*.

The counsel for the defendant in this case argued that once the CIRP process has initiated, the lenders who hold the security interest in respect of a property owned by a guarantor for a corporate debtor do not disassociate themselves from the CIRP proceedings but rather actively participate in it. Moreover, the IBC prohibits initiation or continuation of any suits against the corporate debtor including execution of judgement, decree, or order in any court of law, tribunal, arbitration panel, or any other authority, transferring, encumbering, alienating, or disposing of by the corporate debtor

any of its assets or any legal right or beneficial interest therein, any action to foreclose, recover, or enforce any security interest created by the Corporate Debtor in respect of its property including any action under the SARFAESI Act, the recovery of any property by an owner or lessor where such property is occupied by or in the possession of the corporate debtor.

Referring to the judgements in the cases of *“Punjab National Bank Ltd vs Shri Vikram Cotton Mills and another AIR 1970 SC 1973”* and *“Oshi Foods Limited and ors vs State Bank of India AIR 1997 (2) MPLJ 643”* the court ascertained that unless and until the liability of the Company is determined the guarantors cannot be held liable. It may be possible to proceed against the guarantors, if the decree is obtained against the company which is going to be executed. Therefore, in such a situation when a composite suit has been filed and when leave of the Company Court is required for proceeding against the Company then the suit cannot proceed unless and until the leave of the Company Court is obtained. Further, once the liability is still in fluid situation and the same has not been crystallized, then in such situation two parallel / split proceedings in different jurisdiction should be avoided, if possible. The Allahabad High Court opined that in case the liability is not crystallized against the Corporate Debtor or guarantors / mortgagors at present, then the proceeding, which is pending before the DRT cannot go on and the same has to be stayed till the finalization of the CIRP or till the NCLT approves the resolution plan or passes an order for liquidation of the Corporate Debtor.

Yet another interesting judgement came from NCLT Chennai in the case of *“V Ramakrishnan vs State Bank of India”* on 18th September 2017. The Guarantor in this case contested that if his personal properties were to be sold to realize a portion of the debt outstanding, the guarantor would have all rights of that of the creditors against the Corporate Debtor. The same shall automatically create charge on the assets of the Corporate Debtor which shall amount to “encumbering” the properties of the Corporate Debtor. However, as per Section 14.1.b of the IBC

*‘Subject to provisions of sub-sections (2) and (3), on the insolvency commencement date, the Adjudicating Authority shall by order declare moratorium prohibiting transferring, **encumbering**, alienating or disposing of by the corporate debtor any of its assets or any legal right or beneficial interest therein’*

Hence, this is against the purpose and object of the moratorium declared and the sale of assets of the guarantors of the corporate debtor or invocation of guarantees by any other way to recover the dues of the corporate debtor after the commencement of the CIRP was disallowed. This order was further

upheld in the cases of *"ICICI Bank Limited vs Vista Steel Private Limited"* (CP (IB) No. 552/KB/2017) and *"Axis Bank Limited and DBS Bank Limited vs Edu Smart Services Private Limited"* ((IB) – 102(PB)/2017).

In the event the guarantor fulfils his obligation for payment of the outstanding debt of the Corporate Debtor, he has every right on the assets of the Corporate Debtor to the extent he has paid the outstanding debt to the creditors. In case the Financial Creditor were to proceed against the guarantor of the Corporate Debtor during the CIRP and declaration of the moratorium for recovery of the outstanding debt to the extent of the guarantee given, then, the security interest, if any, of the Financial Creditor shall get transferred to the guarantor which will be in violation of Section 14.1.b of the IBC.

Continuation of Guarantees

Another question pertaining to the Guarantors of Corporate Debtor is regarding continuation of Guarantees in case of resolution or liquidation under IBC. In cases of resolution wherein a new buyer is inducted into the Corporate Debtor accompanied by settlement or restructuring of debt, the personal guarantees of the erstwhile promoters are not automatically released. However, in a lot of cases the new buyer may ask the personal guarantees to be released or the charge of the personal guarantors to be transferred to the new buyers. This may be because some assets of the erstwhile promoters may be entangled with the assets of the Corporate Debtor. For example, the land of the premises of the Corporate Debtor is often held in by the erstwhile promoters. In other cases, the incoming buyers wish the erstwhile promoters to be involved in the operations of the Corporate Debtor for a "transitory period" where the new promoters may be able to come in complete control of the plant. The new buyers would not want the erstwhile promoters, now the key management personnel of the Corporate Debtor, to be bothered by the recovery actions of the banks for the residual portion of the debt and would put a condition for the release or transfer of the guarantees.

However, a sizeable number of Corporate Debtors are likely to end up in liquidation. In such cases, it is pertinent to think that the lenders will be attempting maximum recovery through all charges encumbered to them including their charge on the guarantees offered for the liabilities of the Corporate Debtor. Yet, in absence of any known valuable assets owned by the personal guarantor, a meaningful recovery would be elusive and banks may end up clogging their and the courts' bandwidth for an indefinite period.

A reference can be made to the Supreme Court judgement in the case of “*Industrial Finance Corporation of India Limited vs The Cannanore Spinning and Weaving Mills Limited and ors*” on 12th April 2002. The bench noted that

‘I take it to be established that the defendant became surety upon the faith of there being some real and substantial security pledged, as well as his own credit, to the plaintiff; and he was entitled, therefore, to the benefit of that real and substantial security in the event of his being called on to fulfil his duty as a surety, and to pay the debt for which he had so become surety. He will, however, be discharged from his liability as surety if the creditors have put it out of their power to hand over to the surety the means of recouping himself by the security given by the principal.’

Upon passing of a resolution plan by means of sale to a new buyer, the lender loses the right of claims from the principal borrower, i.e. the Corporate Debtor. By virtue of this, the lender also loses the right of any charges on the Corporate Debtor and hence cannot transfer the same to the Guarantor. However, upon invocation of guarantee the charges must be transferred to the Guarantor as per the Section 142 of the Indian Contracts Act, 1872. Hence, continuation of guarantees cannot be allowed for a resolution plan in a CIRP.

Conclusion

In both scenarios, i.e. in case of allowing action against properties of the guarantors of the Corporate Debtor under CIRP and in case of disallowing action against properties of the guarantors of the Corporate Debtor, the NCLT and the High Court have given a coherent view with respect to the opinion that the recovery of dues by sale of assets of the guarantors is not a part of the CIRP process and has no bearing on the proceedings of the CIRP. However, in other matters, the two opinions differ with the lack of a conclusive judgement in the matter. The CIRP pertains to the recovery of the creditors from the Corporate Debtor regardless of the other securities charged to the lenders. However, the other securities charged to the lenders not owned by the Corporate Debtor do have a bearing on the acceptance or rejection of the resolution plan. In case there is a sizable chance of recovery from the assets of the guarantors, the CoC may not be interested in the resolution of the Corporate Debtor and may push it to undue liquidation to pursue their rights as the charge-holders of the assets of the guarantors. However, this would prove to be difficult as the provisions of the IBC for the sale of properties not owned by the Corporate Debtor has not yet been notified.

Another opinion states that in case of a new buyer asking for the transfer or release of guarantees of the old promoters, the new buyer would not be willing to resolve the banks for an amount greater than the value of the Company for which he is bidding. In this case, the creditors of the Corporate Debtor are asked to take a haircut on the potential recovery from the sale of assets of the guarantors, conditional upon the existence of such assets. Most likely in this scenario, the resolution plan will be denied as it fails to take into account the potential recovery of the lenders from the sale of the assets of the guarantors and the Corporate Debtor will be liquidated, thus impairing greater economic value of the entity as a going concern. This is evidenced from the fact that as of the end of December 2017, out of 40 conclusions via the CIRP process, 10 Corporate Debtors have been resolved and 30 have had liquidation orders passed against them¹¹. While this has uplifted India's rank in World Bank's Doing Business Report due to a faster resolution mechanism, the code has evidently failed to keep up in the spirit of preserving the economic value of the Corporates as going concerns.

The bankruptcy code for individual debtor is expected to be notified soon and would hopefully synchronize with the provisions of IBC for Corporate Debtors. Perhaps now banks, armed with the IBC, would be able to focus on credit appraisal based on financial parameters and project viability instead of personal guarantees. The promoters aware of the power of IBC, would be more conservative while getting sanctions from banks.

Recent Judgement

A recent judgement by the NCLAT has clarified the stance of the judiciary on the issue. The aforementioned case of "*V Ramakrishnan vs State Bank of India*" was taken to NCLAT. The NCLAT adjudicated that

'From the IBC provisions, it is clear that resolution plan, if approved by the committee of creditors and if the same meets the requirements as referred to in sub-section (2) of Section 30 and once approved by the adjudicating authority, is not only binding on the corporate debtor, but also on its employees, members, creditors, guarantors and other stakeholders involved in the resolution plan, including the personal guarantor. In view of the provisions, we hold that the 'moratorium' (on sale of assets) will not only be applicable to the property of the corporate debtor but also on the personal guarantor'

thereby providing a relief on an otherwise contentious issue emerging due to inconsistencies in decisions of benches of NCLT. This also removes language deficiency in Section 14 of IBC.

¹¹ Insolvency and Bankruptcy Board of India. *The Quarterly Newsletter of the Insolvency and Bankruptcy Board of India: October – December, 2017 / Vol 5*

Apart from clarifying the existing inconsistencies, the recent judgement also made a reference to Section 140 of the Indian Contract Act, 1872 which states

‘Where a guaranteed debt has become due, or default of the principal debtor to perform a guaranteed duty has taken place, the surety, upon payment or performance of all that he is liable for, is invested with all the rights which the creditor had against the principal debtor.’

This again strengthens the stance of NCLT Chennai.¹²

However, there is still a possibility that a different interpretation of law is taken by the Supreme Court and the NCLAT judgement is overruled. Or it may so happen that the NCLAT judgement is upheld by the Supreme Court in agreement with the judgement of NCLT Chennai and the High Court.

¹² NCLT Chennai. 18th September 2017. “V Ramakrishnan vs State Bank of India”.

Appointment of Resolution Professional

Section 22.2 of the IBC reads as

*'The committee of creditors, may, in the first meeting, **by a majority vote of not less than seventy-five per cent** of the voting share of the financial creditors, either resolve to appoint the interim resolution professional as a resolution professional or to replace the interim resolution professional by another resolution professional.'*

The law requires the CoC to make a 75% consensus to confirm or replace an interim resolution professional with a resolution professional. However, the law has stayed silent on the scenario where the CoC is unable to arrive as a 75% consensus to either confirm or replace the interim resolution professional. The general practice in such a scenario has been to continue with the interim resolution professional till a solution is reached. However, there is no defined procedure to reaching a solution to the conundrum. Meanwhile, the interim resolution professional is unable to undertake certain tasks that are to be entrusted upon the resolution professional as per Section 25 of the IBC such as

'25.2. For the purposes of sub-section (1), the resolution professional shall undertake the following actions, namely:

- b. represent and act on behalf of the corporate debtor with third parties, exercise rights for the benefit of the corporate debtor in judicial, quasi-judicial or arbitration proceedings;*
- c. raise interim finances subject to the approval of the committee of creditors under section 28;*
- d. appoint accountants, legal or other professionals in the manner as specified by Board;*
- g. prepare the information memorandum in accordance with section 29;*
- h. invite prospective resolution applicants, who fulfil such criteria as may be laid down by him with the approval of CoC*
- i. prepare all resolution plans at the meetings of the CoC'*

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While the CoC is trying to resolve the issue of appointment of the resolution professional, the clock on the time-bound process of the CIRP ticks on for a resolution to be achieved within 180 days with a possible extension of a maximum of 90 days. In case such a resolution is not reached within the stated time-frame, the Company is liquidated due to procedural and legal lapses. In such a scenario, it is possible that the expression of interest is not advertised in proper time for bidders to be able to bid and evaluate the Company appropriately and formulate a resolution plan. In the absence of such a resolution plan, which again needs to be approved by 75% of the CoC, the Company is liquidated.

This begets another question – the necessity of confirming or replacing the interim resolution professional as (or by) the resolution professional. Both the interim resolution professional and the resolution professional are guided by the same set of laws, have a common overseeing body, i.e. the IBBI, are required to pass the same qualifying exam, and need to adhere to the same guidelines for conduct of the entire CIRP including collection and presentation of the resolution plans. The IBC is very clear and straightforward with all rules and much discretionary power has not been left with the resolution professional. So the only possible reasons to replace an interim resolution professional appointed by another creditor may be to seek favouritism or to unduly affect the CIRP process. If a creditor has a concern that the resolution professional may be under the influence of another creditor who may be wanting to unduly affect the CIRP, they can always complain to the IBBI. This is essential not only for the preservation of value to the creditor, but also for the preservation of the economic value of the Corporate Debtor as a going concern. This is also essential for the preservation of value of any other Corporate Debtor which the resolution professional may be appointed for in the future, and hence integrity in the resolution process is of paramount importance. It not only affects the financial value due to the creditors, but also the economic value of old family-led companies that have been in existence for decades or factories that may feed the families of all their workers or professionally sound companies that might have seen a bad financial year and suffered losses. At the stage of economic development of India, it cannot be afforded to ignore the social facets, and hence softer aspects of the resolution process which may make or break the economy at large going forward.

The creditors may argue that if a Company has admitted itself into NCLT under the provisions of Section 10 of the IBC and has suggested an interim resolution professional, then the Company might be seeking favouritism from the resolution professional as described above. Furthermore, one mustn't allow defaulting promoters of a Company to be in control of the CIRP through a resolution professional who may potentially be hand-in-gloves with them. However, if that be the case then the creditors should only replace the resolution professional in case the Corporate Debtor has been admitted under

NCLT under Section 10 of the IBC. In case any operational or financial creditor has admitted a Company into NCLT, then there should not be any need to replace the resolution professional. This saves time and expedites the resolution process which may prove to be a huge benefit in saving a Company.

Another argument made by creditors is that each resolution professional may not be capable to handle any case. However, in the absence of a coherent policy to solve this particular conundrum, there are disagreements between lenders and the matter of appointing a resolution professional is held up. In this scenario, it is proposed that the IBBI keeps a robust database of resolution professionals based on their experience. Also, the authority to appoint a resolution professional should be vested in the hands of the IBBI without intervention from the creditors. The IBBI already confirms each resolution professional as per Section 22.3.b. of the IBC. The process can be further paced if the IBBI can have a resolution professional determined for a Company even before the conduct of the first meeting of the CoC. In that way, it can be decided in the first meeting of the CoC to confirm or replace the resolution professional and in case of replacement, the new resolution professional may be appointed on the spot without any delay.

The resolution professionals need to be placed for a corporate debtor based on the size and complexity of the business of the corporate debtor as well as the experience and capability of the resolution professional.

Debarring Promoters from Bidding

The IBC was amended by an ordinance on 23rd November 2017 which was formally adopted into the code by an amendment on 18th January 2018. The significance of the amendment is largely based in the inclusion of Section 29A that effectively disallows exiled promoters of a defaulting company to regain control. The banks have not also been given the liberty to help such promoters by any means. The Government, it seems, has given a verdict that promoters of failed companies are untrustworthy and cannot be allowed to persist with their respective corporate entities. Even if the bankruptcy of a business is brought by market forces or industrial changes or changes in Government policy or any other factors beyond the control of the management, and not by any fraud of the promoters, it is extremely detrimental to the erstwhile promoters who once called the shots.

Promoters of companies who have been declared as NPA for over a year, will not be given a second chance. This is unfair for bona fide promoters who may have seen one bad year in business despite nurturing a business for decades or possibly generations. The resolution professional now necessarily needs to find new buyers for the company if the company is to be saved from liquidation.

It is a direct and taxing message, even if it doesn't necessarily make great business sense for banks who have to salvage sunk loans by selling an insolvent company – preferably to any buyer who is willing to pay the most. So to avoid this scenario, the banks would have to either sell the loans to ARCs or resort to a low value of settlement with the promoters. If this is not done and CIRP is initiated, it would have a high chance of liquidation which would only provide scrap value to the banks.

Section 29A – Persons Ineligible to Submit Resolution Plan

- *Undischarged insolvent*
 - *Wilful defaulter*
 - *Person whose account has been NPA for over 1 year*
 - *Those convicted of an offence with over 2 year imprisonment*
 - *Individual disqualified as director under Companies Act*
 - *Person banned by SEBI from securities market*
 - *Those banned under IBC for fraudulent activities*
 - *Person who executed enforceable guarantee in favour of creditor in respect of insolvent entity*
 - *Any connected person who meets any of the above*
 - *Subject to any disability under foreign law*
-

Banks are often unfairly blamed for years of loose lending and their nexus with large business houses, were probably not consulted in deciding the terms of the amendment. It seems that banks might have lost the credibility large financial institutions ought to enjoy and are left with little discretion under the stringent rules of the law.

It is expected that most companies and assets in the MSME sector would only attract promoters who understand the market, the product, the process, have the capability for an acquisition, and are willing to do so. They must also inherit the complications and the legacy of the business. Only erstwhile promoters might fit the bill here who would even be willing to fork out a premium to get back on the board of directors of the company.

Prior to the ordinance, most banks would have been willing to cut a deal and accept a haircut on the loans as long as such promoters were not perceived as corrupt or categorized as “wilful defaulters”. Conversely, as long as there was no evidence or negative forensic audit report to show diversion of funds, the banks would be comfortable in dealing with the promoters. But now they can’t. The promoters have neither the say nor the eligibility to perform in any part of the CIRP.

Even though Indian banks have not displayed great lending acumen, which has led to the NPA crisis in the first place, they do deserve the discretion to pave the way for quicker resolutions and help the IBC take off in the direction of resolutions. The amendment needed to give the bankers the freedom and protection to reject top dollar bids from dodgy promoters rather than put a near-blanket ban on all promoters.

The line between a regular business caught in the fluctuating global and domestic economic cycles, and a fraud or wilful defaulter needs to be redrawn. We already have process to frauds, and wilful defaulters, so a near-blanket ban on all promoters including genuine cases of default due to factors beyond human control is penalizing the needs to be tweaked to allow genuine promoters to participate.

Presently, there are no incentives to the erstwhile management and promoters to allow the resolution professional to gather information about the corporate debtor in a smooth manner. It cannot be emphasized enough that it is of quintessential importance that institutional memory is intact and willing to help the resolution professional for him to be able to discharge his duties in an efficient manner. This is also vital to promote stability in commercial relations and foster lending and

investment at lower risk premiums. This is essential not only for investment decisions on invitation of resolution plans under CIRP, but the overall infrastructure has an institutional impact on investment decisions even before the Corporate Debtor falls under a situation of financial stress. This was also emphasized by the BLRC in its reports. However, the implementation of this objective has remained a challenge for most resolution professionals. Presently the IBC only provides for the cooperation of the management of the Corporate Debtor as an obligation for its officers. But no other incentives are provided to the management for extending such cooperation. This proves to be a challenge in the absence of sound information utilities. It needs to be seen if the information utilities can be used to address this issue.

The spirit of the Code is to encourage revival of an organisation, for the betterment of society on a larger perspective. As and when an organisation is wiped off (by way of liquidation) from an industry, and by extension the economy, it wipes away the bread and butter of thousands others associated with the group either directly or in ancillary roles. In the present scenario, 30 of the 40 cases (30/40) which have completed CIRP as on 31st December 2017, have ended up into Liquidation,¹³ which is a substantially a high figure. With the Ordinance issued by the Ministry of Law, further interest has diminished in extending their co-operation and support throughout the CIRP.

With a view to make CIRP a successful strategy, the Board should take into consideration the interest of the erstwhile promoters and management, so that they be incentivised for extending co-operation to interim resolution professional / resolution professional in effective and timely conclusion of the process.

The promoters may be given a final opportunity to bid for the Company in case expressions of interests are not received by qualified bidders or no proposed resolution plans are found acceptable by 75% of the CoC. The promoter may be asked to pay a consideration higher than the liquidation value by a fixed percentage or which may be negotiated. This may be the promoter's last ditch survival strategy to get back the Company.

¹³ Insolvency and Bankruptcy Board of India. *The Quarterly Newsletter of the Insolvency and Bankruptcy Board of India: October – December, 2017 / Vol 5*

Closing Words

Mainstream economic notions believe that at any point of time, human wants are unlimited while the resources to satisfy those wants are limited and have competing alternating uses. A sound economic policy must therefore to utilize resources optimally so as to derive maximum value. Markets freedom with the right amount of efficient regulation holds key to an efficient resource cycle. The objectives of the regulation are threefold – (1) allocation of resources to firms with highest potential returns in the hands of the most capable manner, (2) incentives and empowerment to firms to operate at highest levels of efficiency, and (3) release of unutilized or underutilized resources from inefficient or defunct firms for fresh allocation to the most promising managers. Market forces allows for efficient allocation of resources by Adam Smith's principles. Economies with economic freedom have generally outperformed restricted economies as seen post the cold-war era. This was also confirmed in India's regime pre and post liberalization in 1991. The growth rate since then has almost doubled compared to the Hindu rate of growth in the preceding period.

It is the duty of the Indian government to provide and protect freedom of resources in the marketplace. In this scenario, a firm may fail to deliver planned results for a variety of reasons ranging from faulty business models to change in the macroeconomic scenario. When this is coupled with default in debt repayment obligations. Such default is often a legitimate business outcome and does not warrant closure of business. It is however necessary to have a mechanism to resolve such insolvency in an orderly manner to restore optimal use of resources. Further, resolution may not be possible in all cases. The principle of creative destruction replaces inefficient firms operating on obsolete business models with newer and more efficient firms.

Insolvency is positioned at the interface of economics and law.¹⁴ In any economic law, the objectives of the law cannot be ignored. These must concisely articulate the intent of the law to guide institutions to be able to interpret and implement the law with regards to the ethos, pathos, and logos of its objectives. Insolvency is inherently a complex subject which interacts with a web of laws. The implementation procedures are unique to the insolvency system. The law requires not only legal interpretation but also commercial understanding of the businesses under the law by the professionals interacting and implementing it.

¹⁴ Christoph G Paulus, Institute for Eastern European Studies. 2007. *The Insolvency Law of Central and Eastern Europe*.

Of the 10 cases resolved under the CIRP till 31st December 2017, the total claims of financial creditors has been ₹ 5,524 Cr with a liquidation value of ₹ 1,430 Cr, i.e. 26% of the claims of financial creditors. Till the date, the financial creditors have realized ₹ 1,856 Cr (34% of claims of financial creditors). These resolutions have taken an average period of 219 days with the maximum and minimum time span being 290 days and 119 days respectively. Additionally, 138 liquidation orders have been passed of which 108 have been voluntary liquidations. Of the 30 liquidation orders under the CIRP process, the CIRP process spanned an average of 198 days with a maximum period of 325 days.

The IBC represents a significant change in the legal landscape for the corporate insolvency process in India. The law was brought in during a period of NPA crisis and so insolvency practitioners have had to learn the nuances of the law and best practices quickly. Further, they also have to grapple with socio-cultural practices that have emerged in the previous insolvency regimes which have been vastly different in principle from the IBC. As of 31st December 2017, there were 1,324 resolution professionals in registered with IBBI in India with Chartered Accountants being the bulk of the group at 58%. The law is still at its infancy and new case laws are bringing new propositions every few weeks. The ultimate hope is that the law will help to resolve a large number of NPAs plaguing the Indian banking industry. A lot of hard work has gone into passing and operationalizing the law. The next challenge is implementation.

Glossary of terms

5:25	Flexible Structuring of Existing Long Term Project Loans to Infrastructure and Core Industries, 2014
ARC	Asset Reconstruction Company
BIFR	Board for Industrial and Financial Reconstruction
BLRC	Bankruptcy Law Reforms Committee
CDR	Corporate Debt Restructuring Scheme, 2001
CIRP	Corporate Insolvency Resolution Process
CoC	Committee of Creditors
DRT	Debt Recovery Tribunal
IBBI	Insolvency and Bankruptcy Board of India
IBC	Insolvency and Bankruptcy Code, 2016
IBEF	India Brand Equity Foundation
JLF	Joint Lenders Forum
MAT	Minimum Applicable Tax
MCA	Ministry of Corporate Affairs
NCLT	National Company Law Tribunal
NCLAT	National Company Law Appellate Tribunal
NDA	National Democratic Alliance
PSB	Public Sector Banks
RBI	Reserve Bank of India
S4A	Scheme for Sustainable Structuring of Stressed Assets, 2016
SARFAESI Act	Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002
SDR	Strategic Debt Restructuring, 2015
SEBI	Securities and Exchange Board of India
SICA	Sick Industrial Companies (Special Provisions) Act, 1985
UNCITRAL	United Nations Commission on International Trade Law

Areion Insolvency & Bankruptcy Services LLP

Areion Insolvency & Bankruptcy Services LLP (Areion) is a boutique engaged in providing services in the field of Insolvency, Liquidation, Finance & investment advisory services promoted by professionals having rich experience in Insolvency Resolution, Liquidation, Banking, Corporate Finance, Stressed Loan Management and NPA Resolution matters. The firm offers end-to-end services to Corporate Clients, Banks, NBFCs, Co-operative Banks, ARCs as well as Distressed Funds.

The team of insolvency practitioners has a wide experience of handling insolvency appointments to a broad range of large, complex, cross border and mid-sized corporate entities. The team has a strong track record of delivering both financial and operational restructurings through insolvency processes and have been working with some of the largest and high profile insolvency matters / cases.

The firm works with board of directors to produce contingency plans so that, where an insolvency appointment becomes necessary or unavoidable, plans are in place to efficiently deliver a restructuring or, where this is not possible, preserve and maximize value.

Backed by the expertise of a wider restructuring experience, the firm provides operational direction for organizations across the full insolvency framework.

The firm has advised diverse insolvency resolution strategies across broad array of industries — Diamond, Gems and Jewellery, Textiles, Automobile, Steel, Metals, Pharmaceuticals, Paper, Packaging, Dyes, Specialty Chemicals, Real Estate, Education etc. Areion has finest understanding of the complex transaction dynamics due to hands-on experience and expertise in originating, structuring and executing various transactions.

The team has strong relationship with various stakeholders like Banks, Financial Institutions, Non-Banking Financial Institutions, Asset Reconstruction Companies (ARCs), Distressed Debt Funds, Strategic Investors and HNIs who make Investments in Stressed Companies and Institutions. The firm believe in end to end solutions for our clients.

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